

Fearnleys Dry Bulk Weekly

Mar 26, 2025

Bernhard Baardson

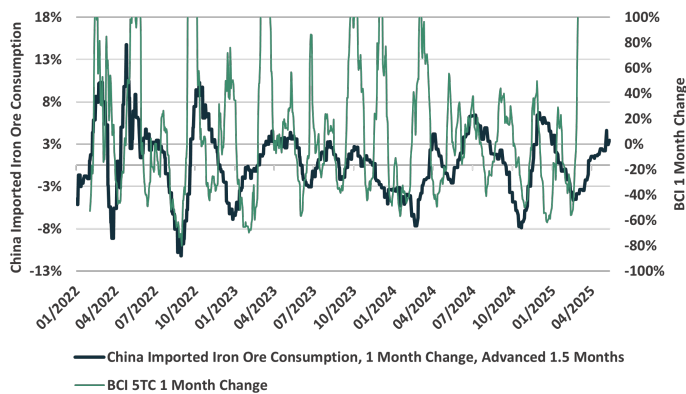
Capesize/Newcastlemax

Two weeks ago, we wrote the following: *The fundamentals look good for the next couple of months, so we do not expect a major spot market correction within that period.*

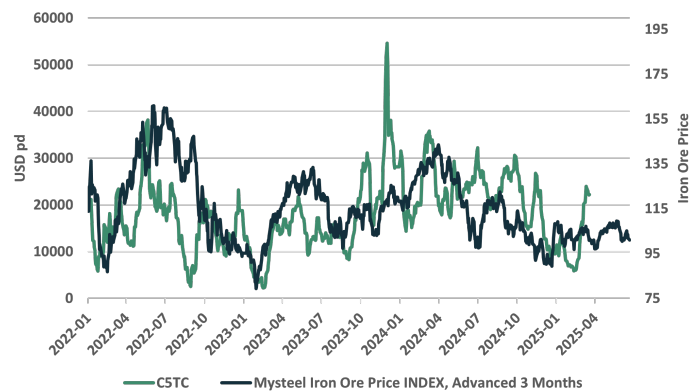
However, the spot market might be close to reaching a ceiling, as the Capesize/Kamsarmax ratio is above 2, which, since 2018, has meant further upside is limited. That said, we expect the Kamsarmax spot market to improve in the next month or two as the second ECSAM grain wave should kick in.

Notwithstanding the last weeks' market softness, year-to-date spot market highs within the next month seem likely. Imported iron ore consumption in China has kept rising. VLOCs will be "out" of the market for a while still. We think C3 looks tight, and even though C5 activity was very low last week the market drop has not been significant. Activity on C5 has picked up this week.

China Imported Iron Ore Consumption, 1 Month Change (1.5 Months Lead) vs Capesize 5TC 1 Month Change



Iron Ore Price, 3 Months Lead vs BCI5TC



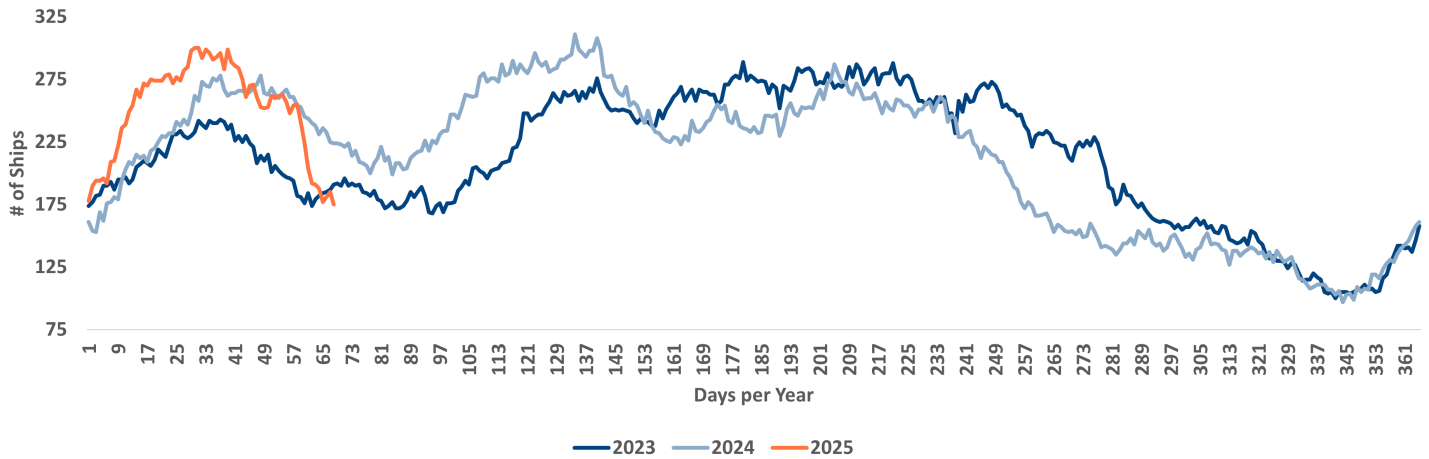
Panamax/Kamsarmax

Two weeks ago, we wrote the following: *The second ECSAM grain wave should be incoming, and the market is likely to be lifted as a result.*

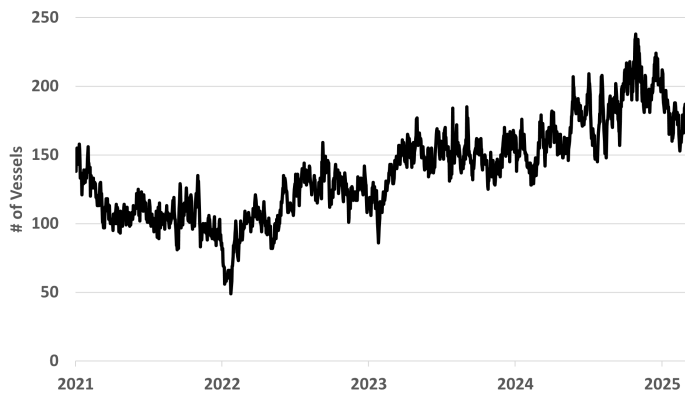
Coal trades in the Pacific will likely remain weak, however. China's inventories are high, and India's demand is weighed down by a weaker macroeconomic backdrop. The lower year-on-year market is likely to continue.

Average seasonality suggests the market could be close to peaking. However, the second wave of the ECSAM Soybean season is incoming, and the ballaster list looks thin. The Pacific also looks firm for the time being. So even though the market could be near a peak, we do not expect much, if any, downside from current levels in the next month.

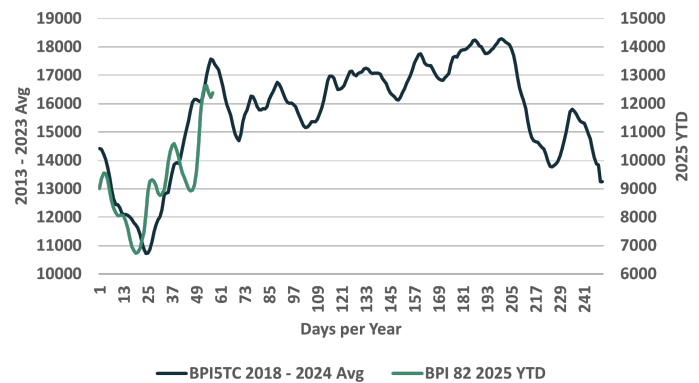
Panamax / Kamsarmax Ballasting to Brazil or Argentina, by Year



Panamax / Kamsarmax Laden With Coal to China or India



Kamsarmax Market Seasonality



Supramax/Ultramax

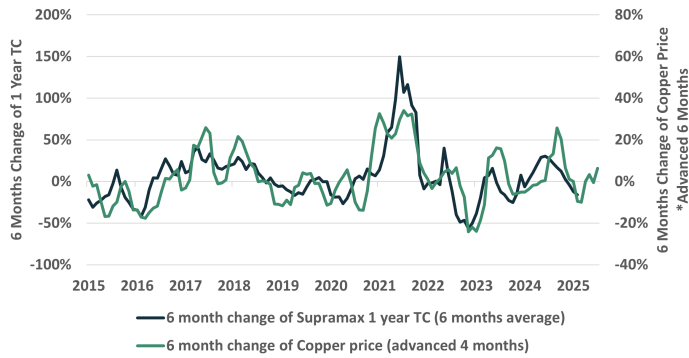
Two weeks ago, we wrote the following: *Around this time of year, the market usually settles and then trends sideways in Q2. We find it likely that the BSI-63 index will settle in the low teens.*

The correlation to the average seasonal movement suggested the market would be a bit higher now. The market could still climb slightly due to ECSAM grains and a slightly positive indication from industrial metals prices and manufacturing PMIs. However, fundamentals do not seem supportive of an index climb much higher than 13,000 USD pd.

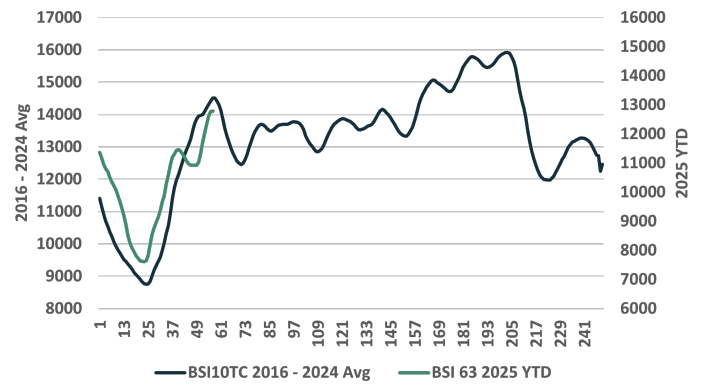
We maintain our view from two weeks ago. At current levels, we expect a more or less sideways movement going forward.



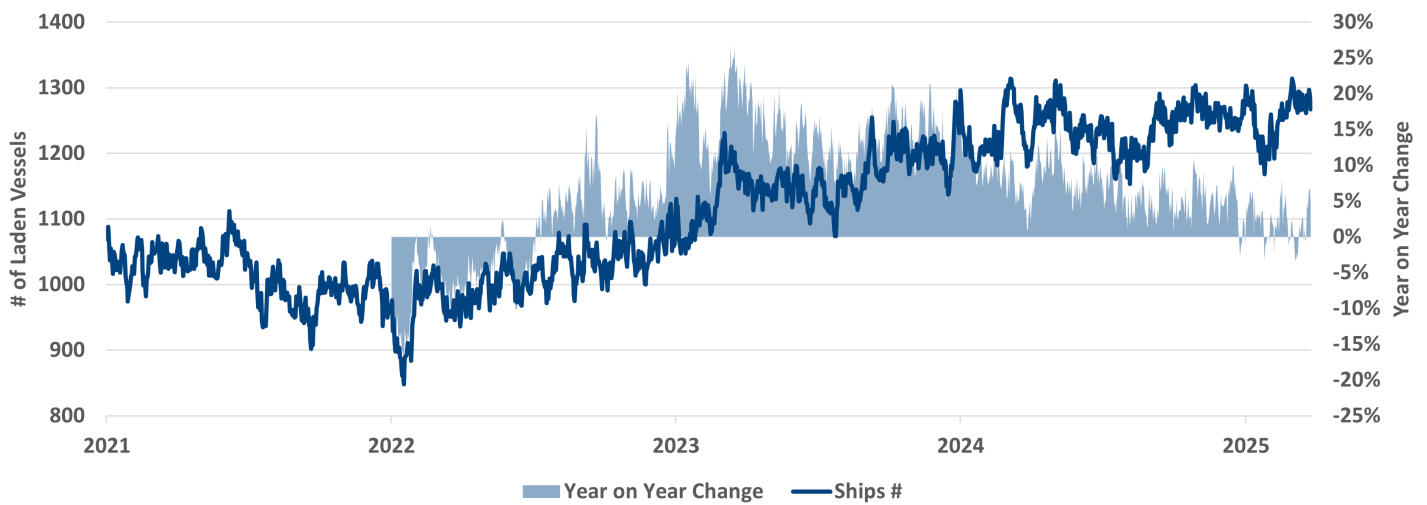
Copper Price Lead vs Supramax 1 Year TC 6 Months Change



Supramax / Ultramax Market Seasonality



Laden Supramax/Ultramax Vessels, and Year on Year Change





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Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

An Astrup Fearnley Company